New Zealand Weekly Market Outlook

(Week ending Feb 20, 2026)

About MUIC

Massey University Investment Club (MUIC) is a student-led organization on the Albany campus at Massey University. Through weekly discussions, market outlooks, and industry engagement, MUIC aims to bridge academic learning with real-world finance.

Editorial Note

This weekly report is prepared for educational purposes only by members of MUIC to provide a student-driven perspective on New Zealand's macroeconomic and financial developments. The objective is to enhance analytical thinking and encourage discussion within the club.

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Jordan Wilson	Secretary
Thu Ngo	Secretary
Khant Min Zin	Treasurer

Next Week's Event

See MUIC at Clubs Day

NZ Weekly Snapshot

OCR: 2.25% (On Hold)
Inflation: 3.1% YoY
Policy Bias: Gradual tightening
Next Likely Move: Hike
Tone: Slightly Dovish/ Patient

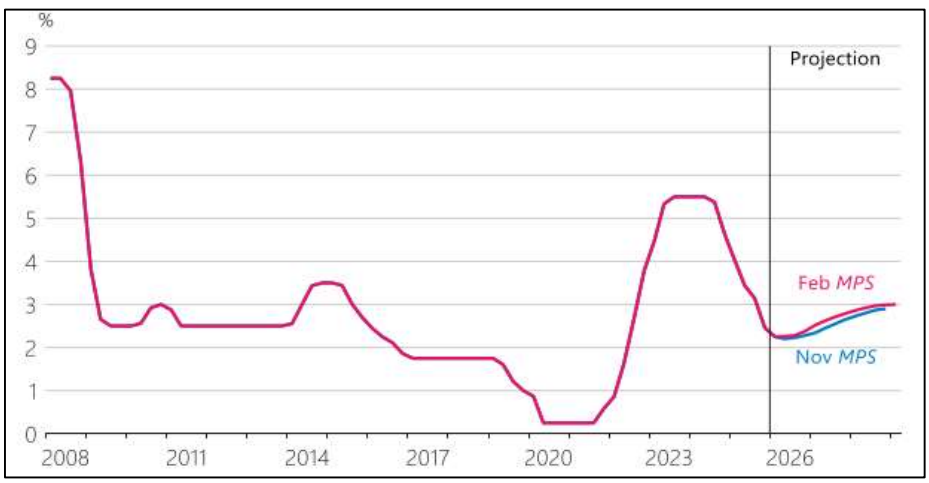
Economic Data Outlook

Official Cash Rate (OCR)

The RBNZ kept the OCR unchanged at 2.25%, as the market expected.

In her speech, Governor Anna Breman said that monetary policy needs to be forward-looking. Although inflation is slightly above the 1-3% target range, she believes that inflation will return to the 2% target within the next 12 months. She emphasized that monetary policy works with lags, usually taking six to nine quarters to fully affect inflation. Because of this, tightening policy now could risk slowing down the early-stage economic recovery unnecessarily. From her tone, it seems that the RBNZ is comfortable with keeping the OCR steady while monitoring what inflation will look like.

Figure 1: Official Cash Rate (OCR)
(Quarterly average)



Source: RBNZ estimates
Note: The projection is from the Reserve Bank's February 2026 Monetary Policy Statement.

As keeping OCR at 2.25% was widely expected by the market, that decision itself would not impact the market significantly. However, what mattered was the updated OCR projection path. The RBNZ slightly lifted its future OCR track, which now suggests that one rate hike could happen before the end of 2026. Describing risks around the inflation outlook as balanced means that both upside inflation risks and downside growth risks exist. This reflects a cautious stance rather than a strong hawkish one.

According to the latest outlook from ANZ Bank New Zealand, the near-term OCR is expected to remain at 2.25% but it will increase gradually toward the end of 2026.

Key Economic Calendar

Date	Events
18 Feb	RBNZ Monetary Policy Statement
23 Feb	Q4 Retail Trade
19 Mar	Q4 GDP
8 Apr	RBNZ Monetary Policy Review
27 May	RBNZ Monetary Policy Statement
28 May	Budget
7 Nov	NZ General Election

Market Reaction

NZD: Slightly weaker

Equity Sentiment: Stable

Risk Meter

Inflation Risk: Medium

Growth Risk: Medium-High

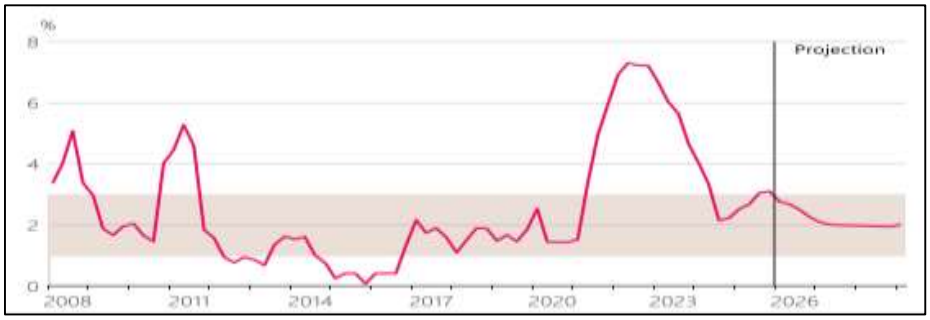
Policy Error Risk: Low-Medium

Inflation

Annual CPI data is currently around 3.1%, which is just above the RBNZ's 1-3% target range. According to Breman, the recent increase in inflation is primarily due to temporary or globally driven factors, specifically in tradeable goods such as food and transport, rather than an increase in overall domestic price pressures.

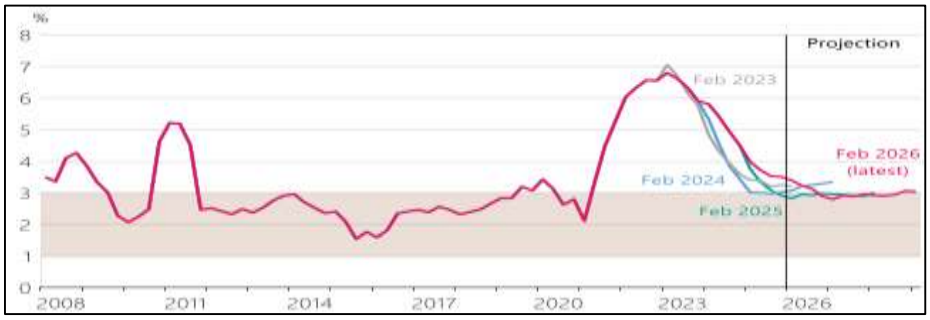
Importantly, core inflation is lower than the headline number implies, standing within the target range. Non-tradables inflation, which reflects more domestic price pressures, has been declining gradually. Moreover, inflation expectations of professional forecasters and business leaders remain within the target range. It suggests that business and households still expect that inflation will return to target over time.

Figure 2: Consumer Price Index (CPI) (Annual)



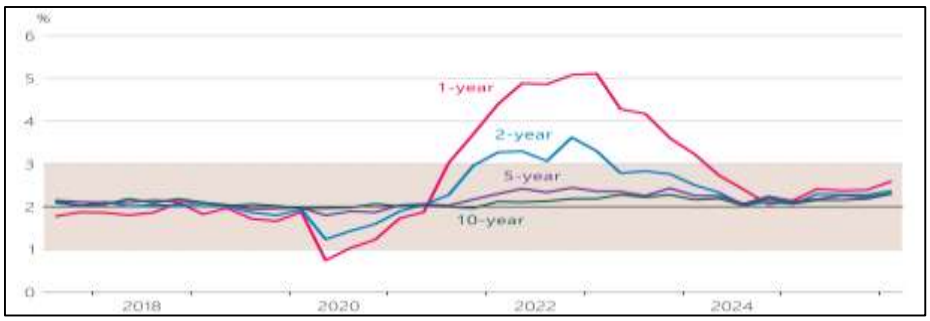
Source: Stats NZ, RBNZ estimates

Figure 3: Non-tradables inflation, with previous Reserve Bank forecasts (Annual)



Source: Stats NZ, RBNZ estimates

Figure 4: Inflation expectations of professional forecasters and business leaders (Annual, years ahead)



Source: RBNZ Survey of Expectations

NZ Economic News

ANZ's latest data releases, forecast updates, and insights

• RBNZ MPS Review: risks balanced; OCR forecast modestly higher
• NZ Economic Outlook: a marathon, not a sprint
• NZ Selected Price Indexes: SPI suggests inflation is back in the band
• NZ REINZ housing data: renewed softness
• NZ Forecast Update: farmgate milk price revised up to $9.50/kgMS
• NZ labour market: not great, but better than it looks
• NZ Property Focus: headwinds and tailwinds
• NZ Q4 CPI Review and OCR Call Change: breaching the band
• NZ NZIER QSBO: a solid recovery
• NZ Forecast Update: farmgate milk price revised down to $8.90/kgMS
• NZ GDP: ending the year on a better note
• NZ 2025 HYEFU: shifting the goalposts
• NZ Agri Focus: a fluid situation
• NZ Half-Year Update 2025 Preview: a long and bumpy road to surplus
• NZ Property Focus: affordability pressures ease
• NZ Insight: economic impacts of Fonterra's special dividend
• NZ Property Focus: home ownership costs vs rents
• NZ Agri Focus: leaping into spring
• NZ Property Focus: breaking even
• NZ long-term fiscal statement review – action required
• RBNZ Governor appointed – the new face of monetary policy
• NZ Insight: labour hoarding and monetary policy

ANZ Bank New Zealand's latest outlook supports those expectations. ANZ noted that the current inflation indicators are suggesting that inflation may already be moving back to the target in early 2026. ANZ expects annual CPI inflation to ease further over 2026, gradually moving closer to the 2% midpoint target.

For now, the central bank seems confident that inflation is on the right path, which is why Breman's speech seemed kind of dovish.

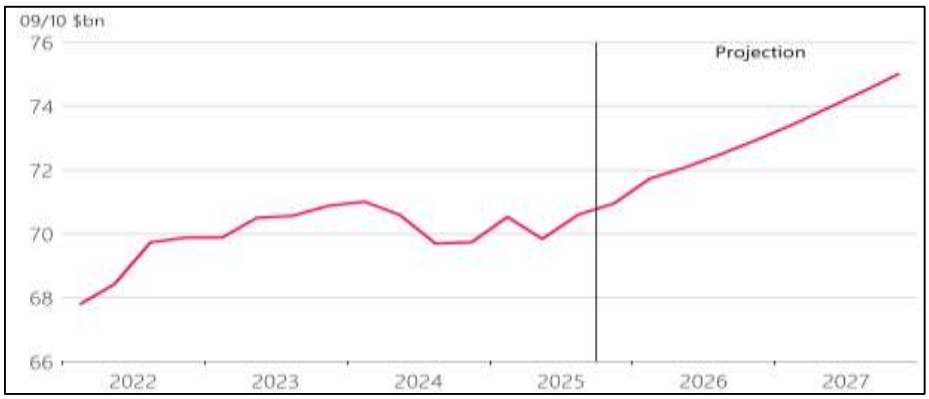
Beginning of an economic recovery

In her speech, Breman officially said that we are at an early stage of economic recovery. Low OCR initiated growth across sectors of the economy, such as manufacturing, construction, and some retail.

New Zealand's economy started growing in the September quarter of last year, but the labour market is still weak. Unemployment rate remains high, and wage growth remains low. The labour market cannot improve unless employers' confidence starts picking off, which RBNZ expects will happen this year.

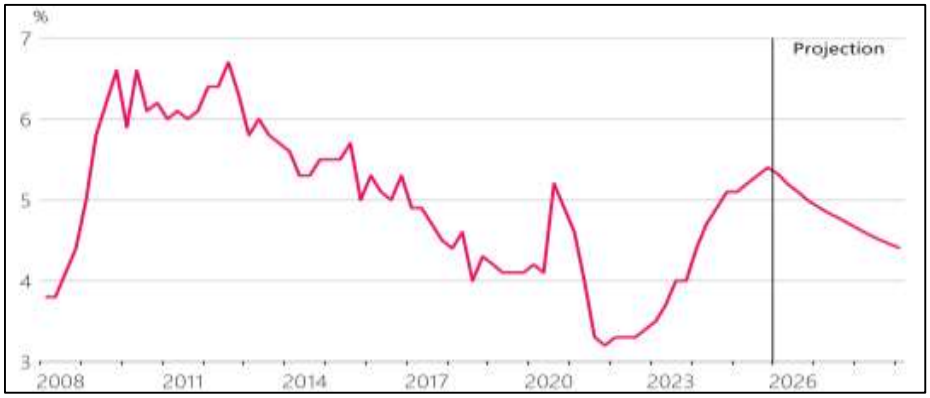
However, the recovery is expected to be moderate rather than aggressive.

Figure 5: New Zealand's real Gross Domestic Product
(Production measure, seasonally adjusted)



Source: Stats NZ, RBNZ estimates

Figure 6: Unemployment rate
(unemployed people as a share of the labour force, seasonally adjusted)



Source: Stats NZ, RBNZ estimates